

“Low-Cost LMS Handling Available”



Miss Mehwish: 03184148783

ECO403

(Mega File)

Mid Term (Live Quiz)

PAID VU LMS HANDLING by Mam Mehwish

03184148783

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1. When Taxes (T) > Government spending (G), the government is running a:

- A) Budget surplus ☒
- B) Balanced budget
- C) Budget deficit
- D) Fiscal imbalance

2. What does the aggregate demand function in a closed economy consist of?

- A) $C + I + G$ ☒
- B) $C + T + G$
- C) $C + I + G + Nx$
- D) $C + I + Nx$

3. If real exchange rate between Pakistan (domestic) and United States (foreign) increases, this means:

- A) There are now less rupees in one US dollar
 - B) Pak goods become more expensive than US goods ☒
 - C) There are now more rupees in one US dollar
 - D) Pak goods become more cheaper than US goods
-



4. The investment function $I = I(r)$ shows that investment is:

- A) A function of government spending
- B) Positively related to the real interest rate
- C) Negatively related to the real interest rate ☒
- D) Independent of the real interest rate

5. Which of the following best defines the liquidity of money?

- A) The ease with which money is converted into purchase of goods and services ☒
- B) The ease with which money can be stored
- C) The ability of money to maintain its value over time
- D) The government's control over money supply

6. The real exchange rate can be defined as the price of:

- A) Domestic goods in terms of foreign goods ☒
- B) Domestic goods in foreign currency
- C) Domestic labor in terms of foreign labor
- D) Domestic currency in terms of foreign currency

7. In the growth rate version of the quantity theory of money, what assumption is made about 'V'?

- A) V is constant ☒
- B) V increases with income growth
- C) V grows at the same rate as M
- D) V is directly proportional to inflation

8. If nominal exchange rate between Pak rupee (Rs) and U.S. dollar (\$) is 300 Rs/\$, and price of a burger in Pakistan is Rs. 200, while U.S. burger costs \$2.00, then real exchange rate is:

- A) 30,000



- B) 3.00 ☒
- C) 0.75
- D) 1.33

9. The Classical Theory of Inflation is based on:

- A) Government control over interest rates
- B) Sticky prices in the short run
- C) Constant money supply
- D) Flexible prices and markets clearing ☒

10. The theory that explains that nominal variables are separately determined from real variables is known as:

- A) Non-neutrality of money
- B) Classical dichotomy ☒
- C) Fisher effect
- D) Keynesian hypothesis

1. Which of the following statements about the effects of inflation on real wages is true?

- Inflation does not affect real wages at all times
- Real wages are determined only by inflation in the long run
- Inflation reduces real wages in the short run only ☒
- Real wages are not affected by inflation in the short run

2. Which of the following is measured in real or physical units?

- Relative prices ☒
- General price level
- Wage in dollars per hour of work
- Nominal interest rate



3. In a small open economy, suppose government adopts expansionary fiscal policy at home by decreasing its taxes, then it results in:

- Lower domestic saving and more investment ✓
- More of both domestic saving and investment
- Lower domestic saving and no change in investment
- More domestic saving and no change in investment

4. The term 'G' in the National Income Accounts Identity ($Y = C + I + G + NX$) represents:

- Government spending ✓
- Global income
- Government income
- Gross national product

5. All of the following are the costs of expected inflation EXCEPT:

- Relative price distortions
- Shoe leather cost
- Menu costs
- Arbitrary income re-distribution between individuals ✓

6. If nominal interest rate (i) increases, then real money demand:

- Decreases ✓
- Stays the same
- Increases
- Fluctuates unpredictably

7. If the growth rate of real income (Y) falls it is because of a:

- Negative inflation
- No change in Inflation
- Fall in inflation
- Rise in inflation ✓

8. Hyperinflation is defined as inflation of at least:

- 30% per month



- 20% per year
- 50% per month ☒
- 40% per month

9. According to the quantity theory of money, the primary cause of inflation is:

- Arise in taxes
- A decrease in the price of commodities
- An increase in government spending
- An increase in the money supply ☒

10. A primary cause of hyperinflation is:

- Decreased aggregate demand
- Increased tax revenues
- Decreased government spending
- Excessive money supply growth ☒

1. All of the following are the costs of expected inflation EXCEPT:

- O Menu costs
- O Shoe leather cost
- O Relative price distortions
- ☒ Arbitrary income re-distribution between individuals

2. According to the quantity theory of money, what happens if the velocity of money (V) is constant?

- O Money supply growth has no effect on inflation
- O Inflation is unrelated to money supply growth
- ☒ Changes in money supply directly affect inflation
- O The money supply has no effect on the economy

3. In the context of money supply, the term "M/P" represents:

- O The velocity of money



- ☒ Real money balances
 - ☐ The total transactions in the economy
 - ☐ Nominal money supply
-

4. Which of the following is true about equilibrium in the money market?

- ☐ Money demand equals the inflation rate
 - ☐ Money supply equals real income
 - ☒ Money demand equals money supply
 - ☐ Money supply equals nominal interest rate
-

5. In the loanable funds market, an increase in desired investment leads to:

- ☐ No change in equilibrium investment
 - ☐ A decrease in saving
 - ☐ A decrease in the interest rate
 - ☒ An increase in the interest rate
-

6. The inflation rate is calculated as:

- ☐ The change in consumer wages
 - ☐ The percentage change in real GDP
 - ☐ The percentage change in the money supply
 - ☒ The percentage change in the price index
-

7. According to the quantity theory of money, the primary cause of inflation is:

- ☐ Arise in taxes
 - ☒ An increase in the money supply
 - ☐ An increase in government spending
 - ☐ A decrease in the price of commodities
-



8. When Taxes (T) > Government spending (G), the government is running a:

- ☒ Budget surplus
- ☐ Fiscal imbalance
- ☐ Balanced budget
- ☐ Budget deficit

9. In the growth rate version of the quantity theory of money, what assumption is made about 'V'?

- ☐ V is directly proportional to inflation
- ☐ V increases with income growth
- ☒ V is constant
- ☐ V grows at the same rate as M

10. The theory that explains that nominal variables are separately determined from real variables is known as:

- ☐ Fisher effect
- ☐ Keynesian hypothesis
- ☒ Classical dichotomy
- ☐ Non-neutrality of money

1. If the money supply grows faster than the real economy (Y), then:

- Real output will increase
- Inflation will decrease
- There is no impact on inflation
- **Inflation will increase ✓**

2. The real exchange rate can be defined as the price of:

- Domestic labor in terms of foreign labor
- Domestic goods in foreign currency
- **Domestic goods in terms of foreign goods ✓**



- Domestic currency in terms of foreign currency
3. **What happens when there is an increase in investment demand in the economy?**
- The real interest rate remains unchanged
 - The supply of loanable funds increases
 - The interest rate falls
 - **The interest rate rises ✓**
4. **Which of the following is NOT considered money?**
- Checks
 - Currency
 - **Credit cards ✓**
 - Deposits in checking accounts
5. **If the prices are growing at 5% per year and real income (Y) is growing at 2% per year, then inflation rate (I) is:**
- **5% ✓**
 - 7%
 - 3%
 - 2%
6. **All of the following are the costs of expected inflation EXCEPT:**
- Shoe leather cost
 - Menu costs
 - Relative price distortions
 - **Arbitrary income re-distribution between individuals ✓**
7. **In an economy, relative price distortions occur when:**
- Real wages change differently than nominal wages
 - The government adjusts taxes for inflation
 - Inflation affects all prices uniformly
 - **Different firms change their prices at different times ✓**



8. The opportunity cost of holding money, instead of bonds or other assets, is represented by which rate?

- Real interest rate (r)
- **Nominal interest rate (i) ✓**
- Expected inflation rate (T_e)
- Actual inflation rate (I)

9. Which of the following is NOT a type of saving?

- **Investment saving ✓**
- Private saving
- National saving
- Public saving

10. Which of the following is the definition of national saving (S)?

- Private consumption + Government saving
- Government saving + Government spending
- **Private saving + Public saving ✓**
- Private saving + Government spending

The three approaches to measuring economic activity are the:

- Product, income, and expenditure approaches. ✓
- Private, public, and international approaches.
- Cost, income, and expenditure approaches.
- Consumer, business, and government approaches.

☐ According to the "law of demand":

- There is positive relationship between quantity demanded and price.
- As the price rises, demand curve will shift to the right.
- There is negative relationship between quantity demanded and price. ✓
- As the price rises, demand curve will shift to left.

☐ What does the equation $Y = C + I + G + NX$ represent?



- Total supply in the economy
- Total demand for domestic output ✓
- Total income of households
- Overall inflation rate

❓ **What is one way to measure a nation's standard of living?**

- By comparing political stability
- By comparing social welfare programs
- By comparing environmental sustainability
- By comparing total market value of a nation's production ✓

❓ **The extra output the firm can produce using an additional unit of capital is called:**

- Marginal productivity of labor.
- Marginal productivity of capital. ✓
- Marginal cost of capital.

❓ **What happens to the equilibrium price and quantity when income increases?**

- Both the equilibrium price and quantity decrease.
- Both the equilibrium price and quantity increase ✓
- The equilibrium price decreases while quantity increases.
- The equilibrium price increases while quantity decreases.

❓ **The Keynesian consumption function suggests that consumption (C) depends on:**

- Real interest rates (r)
- Disposable income ($Y - T$) ✓
- Government spending (G)
- Total taxes (T)

❓ **If an economy has a population of 200 million people, 100 million unemployed, and 70 million employed, what is the labor force?**

- 100 million.
- 130 million.
- 170 million. ✓



- 370 million.

❓ In the equation: $Y = C + I + G + NX$, what does NX stand for?

- Net foreign demand
- Net exports ☒
- Net taxation
- Net investment

❓ Nominal GDP is measured in:

- Current; Constant. ☒
- Final; Intermediate.
- Constant; Current.
- Retail; Wholesale.

1. What does Net National Product (NNP) represent?

- A) Total income earned by individuals in a country
- B) All goods and services produced by the citizens of an economy
- ☒ C) Gross National Product (GNP) adjusted for depreciation
- D) Total consumption by households

2. What does a rising CPI indicate?

- A) Prices are falling
- ☒ B) Cost of living is increasing for the typical household
- C) Economy is shrinking
- D) Wages are increasing faster than inflation

3. Which of the following is not included in GDP?

- A) Expenditures on domestically produced goods
- B) Total value of final goods and services



- ☒ C) Value of intermediate goods used in production
 - D) Income earned by domestic factors of production
-

4. In the equation: $Y = C + I + G + NX$, investment spending component (I) includes:

- A) Government purchases of goods and services
 - B) Household spending on durable goods
 - C) Consumption spending
 - ☒ D) Business spending on capital goods
-

5. Inverse relationship between price and quantity demanded of a good is depicted by:

- A) Law of one price.
 - B) Law of sticky price.
 - ☒ C) Law of demand.
 - D) Law of supply.
-

6. Which of the following is a factor of production?

- A) Consumption.
 - B) Investment.
 - C) Saving.
 - ☒ D) Capital.
-

7. How is the National Income (NI) calculated?

- A) $NI = GNP + \text{Indirect Business Taxes}$
 - ☒ B) $NI = NNP - \text{Indirect Business Taxes}$
 - C) $NI = GNP - \text{Depreciation} + \text{Indirect Business Taxes}$
 - D) $NI = NNP + \text{Depreciation}$
-

8. Which of the following is true about society's resources?



- A) Society has infinite resources
- ☒ B) Society has limited resources
- C) Society can satisfy all consumer desires
- D) Society can produce unlimited goods

9. Which of the following illustrates the trade-off between inflation and unemployment?

- ☒ A) Phillips curve
- B) Supply and demand curve
- C) Laffer curve
- D) Production possibility frontier

10. If exports = 17 billion rupees and imports = 10 billion rupees then what is the amount of net exports?

- A) 27 billion rupees.
- B) 17 billion rupees.
- C) -27 billion rupees.
- ☒ D) 7 billion rupees.

1. The production function is a function that:

- a) Relates factors of production to the amount of output produced ☒
- b) Always has constant returns to scale
- c) Relates marginal products of factors of production to factor prices
- d) Relates factor prices to the amounts of inputs demanded

2. Which of the following describes the negative relationship between unemployment and real GDP?

- a) Okun's law ☒
- b) Law of one price
- c) Keynes's law



- d) Say's law
- 3. Which of the following best describes the definition of endogenous variables?
 - a) Variables which are determined within the model ✓
 - b) Variables which do not change at any time
 - c) Variables from outside the model
 - d) Variables which are fixed at the moment they enter the model
- 4. Which of the following is not included in GDP?
 - a) Income earned by domestic factors of production
 - b) Value of intermediate goods used in production ✓
 - c) Expenditures on domestically produced goods
 - d) Total value of final goods and services
- 5. Which of the following is included in GNP but not in GDP?
 - a) Business investments
 - b) Domestic production of goods and services
 - c) Consumer spending within the country
 - d) Factor payments from abroad ✓
- 6. For marginal productivity of labor, which of the following notation is true?
 - a) $MPL = F(K+1, L+1) - F(K, L)$
 - b) $MPL = F(K, L-1) - F(K, L)$
 - c) $MPL = F(K, L+1) - F(K, L+1)$
 - d) $MPL = F(K, L+1) - F(K, L)$ ✓
- 7. If you buy a pizza from a restaurant rather than making the identical product at home, then which of the following would happen?
 - a) GDP increases ✓
 - b) Society's well-being decreases
 - c) GDP remains unchanged
 - d) GDP decreases
- 8. The three approaches to measuring economic activity are the:



- a) Product, income, and expenditure approaches ☒
- b) Private, public, and international approaches
- c) Consumer, business, and government approaches
- d) Cost, income, and expenditure approaches

9. What does Net National Product (NNP) represent?

- a) Gross National Product (GNP) adjusted for depreciation ☒
- b) All goods and services produced by the citizens of an economy
- c) Total consumption by households
- d) Total income earned by individuals in a country

10. Which of the following best defines Net National Product (NNP)?

- a) GNP plus income generated from foreign firms in the domestic country.
- b) GDP less depreciation.
- c) GNP less depreciation. ☒
- d) GNP less income generated from foreign firms in the domestic country.

MAM MEHWISH 03184148783

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